TABLE 7.1 Average Five-Year Cumulative Return to Contrarian Value Portfolios and Glamour Portfolios (1963 to 1990)

	Glamour Portfolio Average Five-Year Cumulative Return (%)	Contrarian Value Portfolio Average Five-Year Cumulative Return (%)	Difference (Contrarian Value—Glamour) (%)
Price-to-Book Value and Sales Growth	84.2	161.8	77.6
Price-to-Cash Flow and Sales Growth	71.2	171.1	99.9
Price-to-Earnings and Sales Growth	67.4	171.6	104.2

as the highest sales growth because earnings and cash flow can turn negative and sales cannot except in very unusual circumstances—and the highest valuation determined on the basis of price-to-book value, cash flow, and earnings multiples. The *Contrarian Value* portfolios contained stocks with the lowest sales growth and the lowest price-to-book value, cash flow, and earnings multiples. This means, for example, that a stock in the Contrarian Value portfolio must have had poor historical business performance and a low valuation, manifesting as both low or negative sales growth and a low multiple. This helps to distinguish the value stock from a stock the market treats as a "temporary loser," which has had high growth in the recent past, but the market expects to slow down and hence has applied to it a low multiple. Conversely, a glamour stock should also be distinguished from a "temporary winner," which has had low growth in the recent past, but which the market expects to recover and hence has applied to it a high multiple. Lakonishok et al. tested the performance of each portfolio over the five years following formation. Table 7.1 shows the results of the study.

The Contrarian Value portfolios in Table 7.1 comprehensively outperformed the Glamour portfolios, and by a significant margin over five years. The average five-year cumulative difference in returns is between 77.6 and 104.2 percent, which is substantial. This is an intriguing finding. The Contrarian Value portfolios were all cheaper than the Glamour portfolios, but they were also much less attractive on a fundamental basis. We can examine each portfolio on the historical performance of its component stocks before selection. Prior to selection, the Glamour portfolios had grown their businesses at significantly higher rates than the Contrarian Value portfolios. Table 7.2 shows the growth in earnings, cash flow, sales,